

Problem corrections

1. A firm has a market value of \$32,780 and owes its creditors \$34,960. What is the market value of the shareholders equity?

* -\$4360

* 2180

* 0 (correct answer)

* -2180

* 4360

0 is the correct answer because the market value of equity can never be below 0 even if debt surpasses equity. This is because equity ownership is a limited liability ownership. That means the owners (shareholders) are not responsible for debts beyond the equity they have contributed to the firm.

2. At the beginning of the year a firm had current liabilities of \$15,932 and total debt of \$68,847. By year end, current liabilities were \$13,870 and total debt was \$72,415. What is the amount of new net borrowing for the year?

* \$3568

*\$5630 (Correct answer)

*-\$2480

*\$4677

*-\$2062

New net borrowing only considers changes in long-term debt. To get the long-term debt for each period, we subtract the current liabilities from the total debt. We then subtract the long term debt at the beginning of the year minus the long term debt at the end of the year. So:

$68847 - 15932 = 52915$ LT debt at the beginning of the year

$72415 - 13870 = 58545$ LT debt at the end of the year

$58545 - 52915 = \$5630$ new net borrowing